

Meal Melee



After years of quick expansion, Zomato and Swiggy are seeing moderation in sales growth



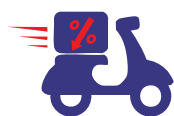
They are racing to attract India's price-sensitive middle class. Swiggy's budget app 'Toing', Zomato's lower free-delivery threshold, and Rapido's new entrant 'Ownly' signal a strategic pivot towards affordability



Rapido's foray into food delivery and magicpin's 180% revenue surge underscore a growing appetite among challengers to exploit the gaps left by incumbents



Their focus on lower delivery costs and better price points is reshaping competition in top cities



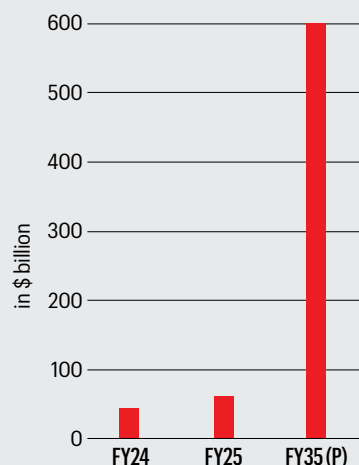
All the firms are looking beyond metros for the next growth wave. Average order frequency in India still lags global peers

Behind the sale—and the boardroom manoeuvres preceding it—lies a richer narrative; it's the story of a market reaching maturity amid slowing growth and pivoting to capture its next set of customers. It drew the battle lines for what promises to be a war centred around value meals—wholesome food at an affordable price point, signalling

a new phase of competition and innovation in food delivery. The new value challengers—magicpin and Ownly—are rewriting the rules of the game, prompting a response by the duopoly of Zomato and Swiggy as customers get put off by the increasing cost of ordering food and time taken for it to be delivered. Customer dissatisfaction is being

CAPTURING THE PLATE

- GROWTH IN FOOD DELIVERY IS EXPECTED TO ROCK-ET IN THE NEXT DECADE



NOTE P IS PROJECTED
SOURCE EXPERT MARKET RESEARCH AND IMARC GROUP

reflected in the numbers reported by the Big Two.

“The value proposition of online food delivery has significantly eroded for consumers,” says Rohan Agarwal, a partner at Redseer Strategy Consultants. “Customers now rarely receive the discounts they once enjoyed and face substantial fees, leading to a hefty final cost.” Compounding this is a notable decline in speed with average delivery time now 43 minutes, a figure that climbs during peak hours. Agarwal attributes this largely to shortage of delivery staff.

Deepinder Goyal, founder of Zomato, says the recovery in food delivery growth has been slower than expected due to “weak discretionary spending, delivery partner